

The Best Landlord in Gaming, Priced Like a Distressed One

Equity Research Note · Real Estate — Experiential / Gaming REIT · October 4, 2026

Recommendation	BUY
12-Mo. Price Target	\$39.00
Current Price	\$22.65 (Oct 2, 2026 close)
Implied Upside	+72.2%
Dividend Yield / Risk	8.1% / Medium-High

Thesis in one paragraph. VICI is the dominant experiential REIT in America — 103 assets, ~130 million sq ft, 16 tenants, 100% rent collection since inception — trading at 9.2× forward AFFO and an 8.1% dividend yield, both the cheapest readings since its 2018 listing. The market is pricing three fears: Caesars' \$17.6B take-private (39% of rent), a 5.25% 10-year Treasury, and soft Las Vegas visitation. We judge all three to be overstated or self-correcting: the leases are 30-to-50-year, cross-defaulted master leases on immovable assets that survive any change of tenant ownership (and the buyer is arguably better credit); AFFO per share is still growing 4–5% a year with a ~75% payout; and the balance sheet is investment-grade with 98% fixed-rate debt. This v2 rebuild values VICI the way a REIT should be valued — on AFFO per share, not GAAP EPS — under hardened rules: scenario-specific discount rates (base 9% for this contractual cash-flow compounder / bear 11.5% / bull 8%), terminal growth capped at 2%, and — the critical fix versus the prior note — a bear case that genuinely hurts. The old note's bear cases (\$38 AFFO-DCF, \$28 DDM) sat *above* the \$22.65 quote: a mild-bear leak. The honest bear is a Caesars stress that cuts AFFO 15% in year one: \$20.65, 9% below the quote. The probability-weighted AFFO-DCF (25/50/25) lands at \$38.86; we set a \$39 twelve-month target, the weighted fair value rounded. Initiate with BUY.

This note is independent research for informational purposes only and is not investment advice or a recommendation to transact. Valuation figures marked † are analyst-computed from public filings and market data as of October 2, 2026 (VICI close \$22.65). Forward-looking statements involve risk and uncertainty.

Market cap	Price (Oct 2)	52-week range	Beta
\$24.9B	\$22.65	\$22.54 – \$33.01	0.68
Dividend (ann.)	Div. yield	2026E AFFO/share	P / AFFO
\$1.84	8.12%	\$2.46 †	9.2× †
Payout ratio	Net leverage	Credit ratings	Employees
~75% of AFFO	5.0× EBITDA	Baa3 / BBB- (IG)	~28

Sources: Company Q2 2026 release and Q1 2026 supplemental; market data via Yahoo Finance (Oct 2, 2026). † Analyst-computed.

1. What the company does

VICI Properties, formed in 2017 as the real-estate spin of Caesars Entertainment's bankruptcy and listed in February 2018, is an S&P; 500 experiential REIT. It does not operate casinos. It owns the dirt and buildings — including three of the most iconic assets on the Las Vegas Strip (Caesars Palace, MGM Grand, the Venetian) — and leases them back to operators under long-term triple-net leases: the tenant pays property taxes, insurance, maintenance, and capital expenditures. VICI's income is therefore contractual rent plus financing income from its loan book, not gaming revenue. The portfolio spans 103 experiential assets (63 gaming, 40 other experiential) across the US and Canada: ~130 million square feet, ~66,000 hotel rooms, 700+ restaurants, bars, nightclubs and sportsbooks, four championship golf courses,

and ~33 acres of undeveloped Strip-adjacent land. Sixteen tenants; 100% occupancy and 100% rent collection every year since inception. The company runs this on ~28 employees — one of the most asset-light models in the S&P; 500.

Lease architecture — the actual product. The weighted-average lease term is ~39.7 years including renewals, with whole-portfolio, cross-defaulted master leases backed by corporate guarantees. Two tenants dominate: Caesars ~39% and MGM ~33% of annualized rent (~\$3.2B total). Escalators are fixed 1–2% or 'greater of 2% and CPI' (typically capped at 3%). Crucially, ~45% of the rent roll is CPI-linked in 2026, rising to ~87% by 2035 — a growing organic engine that converts a bond-like asset into a growing perpetuity, rare among net-lease REITs.

2. Financial situation

The P&L;: cash rent, not gaming. Q2 2026 (reported July 29, 2026): total revenue ~\$1.06B, +5.7% YoY, ahead of estimates. GAAP net income \$526.5M / \$0.48 per share, down 39% YoY — but that was a CECL loan-loss accounting swing, not an operating miss. The correct lens is AFFO: \$679.6M / \$0.62 per share, +4.6% YoY, in line with consensus. Management raised the low end of 2026 AFFO guidance to \$2.45–\$2.47/share. Annual revenue has compounded from \$2.6B (2022, post-MGP deal) to ~\$4.1B (2026E); operating margins run ~70% — triple-net economics are almost pure margin.

Year	AFFO / share	Dividend / share
2018	\$1.43	\$1.00
2019	\$1.24	\$1.17
2020	\$1.64	\$1.26
2021	\$1.82	\$1.38
2022	\$1.93	\$1.50
2023	\$2.15	\$1.61
2024	\$2.26	\$1.70
2025	\$2.38	\$1.77
2026E	\$2.46 †	\$1.84 †

AFFO/share history per suredividend (2019 dip reflects MGP-era share count); 2026E is guidance mid. Dividend CAGR 2018–2025 = 8.5%. The dividend was raised again on September 3, 2026 to \$0.46/quarter (\$1.84 annualized, +2.2%), the 8th consecutive annual increase since the 2018 IPO. Payout is ~75% of 2026E AFFO — comfortably inside the company's ~75% policy, leaving retained cash flow to fund growth. The 8.1% yield is the highest since listing.

Balance sheet: investment-grade fortress, refinancing is the watch item. Total debt ~\$17.1B; net leverage 5.0× LQA adjusted EBITDA; 98.4% fixed-rate; liquidity ~\$3.1B. Covenants are comfortable (net debt/assets 35% vs 60% limit; interest coverage 4.0×). Ratings: Moody's Baa3 / S&P; BBB- / Fitch BBB-, all Stable. The honest blemish: VICI refinanced \$1.75B of notes in August 2026 at higher rates, and a ~\$1.5B tranche matures in 2027 that will reprice upward — a few cents of AFFO drag, manageable, but the key near-term balance-sheet event.

3. Growth: three engines

Acquisitions — the deep-pocketed buyer in a high-rate world. 2026 has been active: the \$1.16B Golden Entertainment deal (seven Nevada casinos incl. The Strat, closed ~April 30 into a new master lease); C\$200.6M for two Alberta casinos at an 8.0% cap rate; the 14th tenant (Northfield Park/Clairvest); and the 16th tenant, Club Med, via the Carambola Beach Resort acquisition plus a \$55.2M build-to-suit (reopening Q4 2027). With operators as motivated sellers and VICI holding the sector's cheapest cost of capital, the sale-leaseback pipeline is structurally advantaged.

Partner Property Growth Fund (PPGF) — reinvestment at contracted yields. VICI funds tenant capex at fixed returns: up to \$700M for the Venetian at 7.25% and a \$1.5B mezzanine loan into the \$4.3B One Beverly Hills financing (March 2026). PPGF turns tenant growth capex into VICI rent — incremental, high-visibility AFFO.

Organic escalators. Contractual bumps (1–2% fixed or CPI-linked, caps ~3%) plus the rising CPI-linked mix (45% → 87% of rent by 2035) deliver ~2–3% same-store rent growth with zero capex — the compounding spine beneath the dividend.

Our forward view: we model AFFO/share compounding at 4–5% annually through 2028 (escalators ~2.5% + accretive deals + PPGF), moderating to ~3% terminal. Dividend growth of ~4% a year is fully fundable at a 75% payout. This is not a high-growth equity; it is a growing 8% yield with a 4% kicker — the classic compounding REIT profile, currently priced as if the growth were zero.

4. Moat & competition

We rate VICI's moat narrow-to-moderate, but unusually durable for a REIT. The sources: **irreplicable, licensed assets** (you cannot build another Caesars Palace); **master-lease architecture** (whole-portfolio, cross-defaulted, 30–50-year terms — VICI has never missed a rent check since formation); **scale + cost of capital** (~\$43B enterprise value vs GLPI's ~\$16B, S&P; 500-listed, investment-grade); and **inflation linkage** (45% → 87% CPI-linked rent) converting fixed income into a growing perpetuity. The moat's weak point is concentration: it is only as strong as tenant credit. Caesars (39%) and MGM (33%) are 72% of rent. Our judgment: the asset moat is wide (the buildings will be casinos in 30 years); the credit moat is the risk to underwrite — and on that, the Caesars take-private is arguably credit-positive (Fertitta arguably better credit than levered public Caesars' \$11.9B debt). Gaming real estate is effectively a two-player market: GLPI (~\$11B cap, ~8.6% yield, ~96% payout vs VICI's ~75% — less dividend-growth headroom) is the only pure-play peer. Beyond gaming: Realty Income (~5.2% yield, 8–14-year leases vs VICI's ~40). Our judgment: VICI is the quality compounder of the group — longer leases, stronger escalators, better balance sheet — yet trades at the widest discount to its own history.

5. Valuation (v2 hardened): AFFO-DCF primary, DDM cross-check

A REIT is valued on cash to equity holders, not GAAP earnings: our primary lens is a 10-year scenario DCF on **AFFO per share**, off 2026E AFFO of \$2.46 (guidance mid). The discount rate is the rate call: **base 9%** — the stable-compounder tier, justified by 30–50-year contractual triple-net leases, 100% collection since inception, and investment-grade leverage — **bear 11.5%, bull 8%** (the floor). Terminal growth is capped at 2% on normalized mid-cycle AFFO (escalator-driven, never peak acquisition pace). Growth paths are anchored to the 2018–2025 AFFO compounding record (8.5% dividend CAGR; ~6% AFFO CAGR), faded — not to management guidance.

Lens 1 — AFFO-per-share DCF (primary) †

Scenario	AFFO growth path	Discount	Terminal g	Fair value
Bear — Caesars stress: 15% AFFO cut in year 1; growth fades 1%→0.5%	1% → 0.5%*	11.5%	2.0%	\$20.65
Base — escalators + accretive deals + PPGF; 5% → 3%	5% → 3%	9.0%	2.0%	\$41.59
Bull — acquisition pace sustains; CPI linkage compounds; 6% → 3.5%	6% → 3.5%	8.0%	2.0%	\$51.60
Weighted (25/50/25)	—	—	—	\$38.86

*After the year-1 15% cut. The bear case clears every v2 bear-must-hurt test: AFFO growth of ~1% is under 3% (with an outright 15% cut in year one — an AFFO decline, not a slowdown); \$20.65 is a ~50% derating versus the base case; and it sits 9% below the \$22.65 quote. Terminal value is 39–59% of fair value by scenario (under the 70% haircut threshold). The falsifiable core of the note: if the Caesars take-private closes with leases impaired or renegotiated downward, the base case is wrong and the bear owns the stock.

Lens 2 — Gordon growth (dividend discount) †

On the \$1.84 dividend: bear (11.5% CoE, 3% growth) → \$23.46; base (9% CoE, 4% growth) → \$38.27; bull (8% CoE, 4.5% growth) → \$55.66; weighted → \$38.86 — landing on the same number as the AFFO-DCF, which is what should happen when the payout ratio is stable and the dividend is funded by AFFO. The DDM confirms rather than contradicts.

Lens 3 — Market-multiple context (not the anchor)

For context only: P/AFFO on 2027E AFFO (~\$2.58): 9× (no re-rating) → \$23.22; 11.5× (halfway to the 12–14× history) → \$29.67; 13× (full normalization) → \$33.54. Target-yield lens: at 6.25% (toward history) the \$1.84 dividend is worth \$29.44; at 5.25% (rate relief), \$35.05. NAV via cap rate: on ~\$3.48B LQA adjusted EBITDA, a 7.5% cap → ~\$26.6/share. These lenses measure what the market will pay over 12 months with the 10-year above 5% — they cluster at \$26–\$30 — while the DCF/DDM measure through-cycle intrinsic value at ~\$39. The prior note anchored its \$30 target to the market lenses; v2 does not permit that departure without a falsifiable justification, and 'rates might stay high' is a scenario, not a justification — it is already priced in the 9% base discount rate (a full ~375bp over the 10-year). Our \$39 target is the weighted DCF, stated plainly: it requires the market to pay for the cash flows, which an 8.1% starting yield plus 4–5% AFFO growth has historically forced it to do.

Blended target: \$39

Valuation read	Fair value / sh	Implied upside
AFFO-DCF, 10-yr, 25/50/25-weighted †	\$38.86	+72%
Dividend discount (Gordon), weighted †	\$38.86	+72%
Market multiples (P/AFFO, yield, NAV) — context	\$26–\$30	+15–+32%
Street consensus	~\$30	+32%
12-month target	\$39	+72%

At \$22.65: +72.2% price upside to \$39, plus an 8.1% dividend yield ≈ 80% expected total return. The asymmetry the old note identified survives hardening: the bear-case DDM (\$23.46) still beats the quote, base-case AFFO-DCF points to ~\$42, and through-cycle value is ~\$39 even after a genuine Caesars-stress bear.

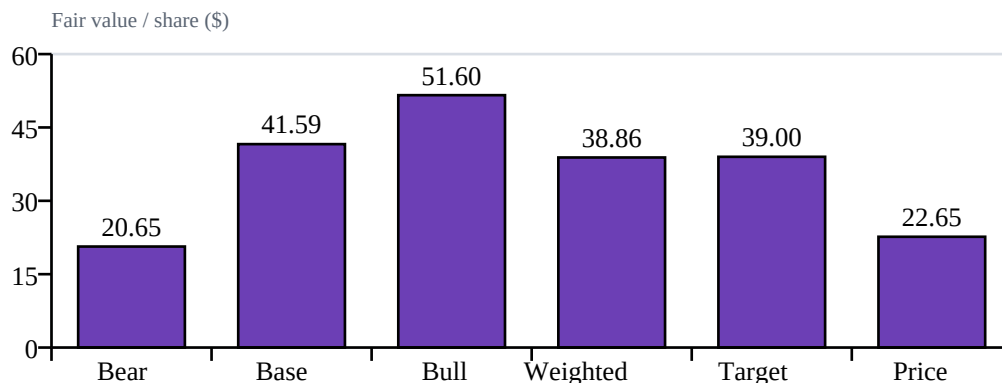


Figure — Scenario fair values, target, and current price (\$). † Analyst-computed. Source: analyst model, October 4, 2026.

6. Risks — what could break the thesis

Caesars concentration (39% of rent) + take-private overhang (the central risk). The market's #1 fear, and our bear case. Our stress test: a 15% AFFO cut keeps the dividend covered at ~88% payout — painful, not fatal. Mitigants: 30+ years to renewal, cross-default, immovable assets, and Fertitta is arguably better credit than levered public Caesars (\$11.9B debt). But a hostile lease renegotiation, however unlikely legally, would re-rate the stock violently — that is the \$20.65 world.

Interest rates. The 10-year at ~5.25% (24-year high) is the valuation anchor dragging the multiple. Every 50bp of sustained long-end rise compresses the fair range by ~\$2–3. VICI's own refinancing (\$1.5B due 2027) reprices higher. This is the risk that keeps the market lenses at \$26–\$30 while the DCF says \$39.

Las Vegas / regional softness. Visitor volume -7.5% in 2025 and -4.3% in Aug 2026; ADR -7.4%. Strip GGR is still growing (+0.7%), but sustained leisure weakness pressures tenant rent coverage — especially regional Caesars properties where coverage is thinnest.

Cap-rate expansion. If acquisition cap rates rise with rates, the accretive-deal engine slows; external growth would then rely on the loan book and PPGF.

GAAP noise. CECL swings and sales-type lease accounting make EPS volatile and screen poorly — a perpetual source of headline misses (as in Q2). Underwrite AFFO, not EPS.

7. Catalysts & final recommendation

Catalysts (next 12 months): Caesars/Fertitta closing (by June 2027) — removes the overhang; any disclosure confirming lease treatment is a re-rating event. Q3 2026 results (late Oct 2026) — AFFO trajectory and 2027 commentary; another guidance raise would force multiple expansion. Rate relief — any sustained 10-year rally is the single biggest multiple driver; REITs re-rate first. Sale-leaseback pipeline — motivated sellers + VICI's cheap capital = accretive deals. Dividend raises — the 9th consecutive annual increase (expected Sept 2027) at a 75% payout is self-funding marketing for the compounding story.

We initiate VICI Properties with a BUY rating and a \$39.00 12-month price target (from \$22.65; +72.2% upside, ~80% total return with the 8.1% dividend), risk rating Medium-High.

The investment case, stated plainly: **the cash flows are fine; the price is about fear.** AFFO/share is growing 4–5%, the dividend was just raised for the 8th straight year at a 75% payout, collection is 100%, leverage is 5.0× investment-grade. The stock sits ~1% off its 52-week low because the market fears Caesars and 5%+ rates, not because the business deteriorated. **Asymmetry favors the buyer.** Bear-case fair value (\$20.65) is a genuine Caesars-stress world and still only 9% below the quote; base-case AFFO-DCF points to ~\$42; the weighted DCF is \$39. You are paid 8.1% to wait for the re-rating. **The forward view.** We expect the Caesars take-private to close by mid-2027 with leases intact (credit-neutral to positive), AFFO to compound ~4–5%, and the dividend to keep rising. If long-end yields stay above 5% indefinitely, the return is still an 8%+ growing yield — an acceptable outcome; if they normalize, the multiple follows and \$39 proves conservative.

Position sizing note: this is an income compounder, not a growth rocket — size it as a core dividend holding. The two genuine thesis-breakers to monitor: a Caesars lease impairment (watch the FTC/deal disclosures) and a sustained move in the 10-year well above 5.5%. Absent those, weakness toward \$20 would be an opportunity to add, not a signal to sell.

Appendix — Methodology & sources (v2)

Scenario DCF (v2). Ten explicit years on AFFO per share off 2026E \$2.46; growth paths: bear 15% yr-1 cut then 1% → 0.5%, base 5% → 3%, bull 6% → 3.5%; discount rates 11.5% / 9.0% / 8.0%; terminal growth 2.0% on normalized mid-cycle AFFO (escalator-driven, never peak acquisition pace). Terminal value is 39–59% of fair value by scenario (under the 70% haircut threshold). Growth inputs are anchored to the 2018–2025 AFFO compounding record, faded — no management anchoring. DDM cross-check: \$1.84 dividend at 11.5%/9%/8% cost of equity and 3%/4%/4.5% dividend growth → \$23.46 / \$38.27 / \$55.66, weighted \$38.86. **What we did not do:** no GAAP-EPS DCF (CECL and sales-type lease accounting make EPS noise); no Monte Carlo. **Limitations:** the 10-year Treasury is the dominant valuation variable and is not modeled — it is priced in the discount rate; small changes in the rate assumption move the DCF materially.

Sources: Company Q2 2026 earnings release (Jul 29, 2026), Q1 2026 supplemental, corporate responsibility report; SEC filings. Market data: Yahoo Finance (Oct 2, 2026 close \$22.65). 10-yr Treasury ~5.25% (Oct 1–2, 2026). Valuation models are the analyst's own; figures marked † computed from the stated inputs. This is independent research for informational purposes only — not investment advice, not a solicitation. The author may hold positions in securities mentioned. Past performance does not predict future results.